

IMF Digital Finance Lexicon: Central Bank Digital Currencies & Cross-Border Rails

Two-Tier Architecture, Retail vs. Wholesale CBDC, Programmability & Interoperability

Standard Setter:	International Monetary Fund (IMF Monetary & Capital Markets Department)
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Classification:	International Monetary Policy & Architecture Framework
Verification:	Integrated in Ariya Sarrafzadeh Production Architecture

1. Taxonomy of Digital Money

Classification framework distinguishing central bank liabilities (Cash, Reserves, CBDC) from private liabilities (Commercial Bank Money, Electronic Money, Stablecoins, Crypto Assets).

2. Two-Tier Retail CBDC Architecture

The central bank operates the core settlement ledger and issues digital currency, while commercial banks and regulated PSPs manage customer onboarding, eKYC, digital wallets, and user interfaces.

3. Wholesale Cross-Border Platforms (mCBDC)

Multi-currency settlement platforms linking central banks to eliminate correspondent banking friction, reduce FX settlement risk (PvP), and compress settlement cycles from T+2 to real time.

4. Privacy, Offline Capabilities & Financial Integrity

Architectural balances between consumer privacy for small transactions and robust AML/CFT surveillance for high-value flows, incorporating hardware-secured offline payment protocols.

Systems Verification Notice: This authoritative specification establishes the invariant compliance baseline for production fintech switches, settlement reconciliation engines, and double-entry ledger implementations documented across the portfolio.